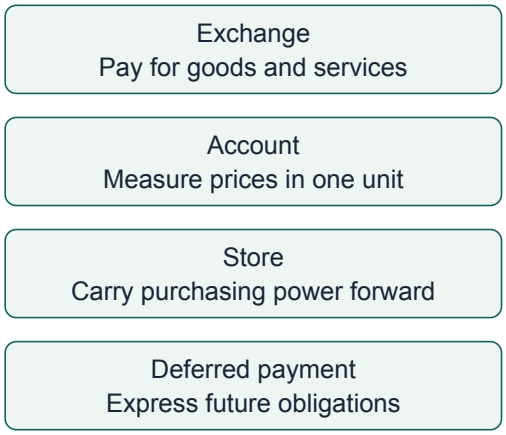
Money and Money Supply

1. Money: meaning, functions and qualities

- **Money:** anything generally accepted as payment for goods/services and settlement of debts. Legal recognition is important for currency, but **all money is not legal tender**: bank deposits also function as money.
- **Medium of exchange:** removes barter's double coincidence of wants; sell wheat for money, then buy rice.
- **Unit of account:** common measure for prices, accounting and comparison.
- **Store of value:** transfers purchasing power across time; inflation erodes its real value. Keynes emphasised holding money as an asset; avoid the absolute claim that earlier economists never recognised this function.
- **Standard of deferred payment:** denominates future obligations, enabling credit and contracts.
- **Six desirable qualities:** acceptability, portability, durability, divisibility, uniformity and controlled scarcity. A payment card is a means of accessing money, not a separate currency.



Money performs four complementary functions.

2. Types of money: distinguish the basis

- **Commodity money:** a commodity itself used as money, e.g. gold. **Metallic money:** coins made of metals. **Paper money:** notes; these describe material, not necessarily backing.
- **Full-bodied money:** commodity/intrinsic value approximately equals face value. **Token money:** intrinsic value below face value.
- **Representative money:** redeemable claim on a backing commodity; representative full-bodied money has equivalent bullion backing held by the issuer. Modern Indian notes are not promises to deliver gold.
- **Fiat money:** value rests on legal authority, public confidence and acceptance, without commodity convertibility. “Non-commodity-backed” and “government-backed” describe its features, not two separate types. Market purchasing power is not fixed by government decree alone.
- **Fiduciary/optional money:** accepted on trust/agreement, e.g. cheques or bills of exchange; a creditor need not accept these as legal tender. A cheque instructs a deposit transfer; it is not an additional stock of money.

- **Commercial-bank money:** deposit balances usable for payment, created partly through lending. **Actual money:** general textbook label for money used in exchange. **Standard money:** recognised currency/unit of account; do not confuse this with the intrinsic-value test for full-bodied money.
- **Near money:** liquid assets readily convertible into transaction money, e.g. treasury bills, certificates of deposit and short-term deposits. Classification depends on the aggregate: savings-bank deposits may already count as money; they are not universally “outside money”.

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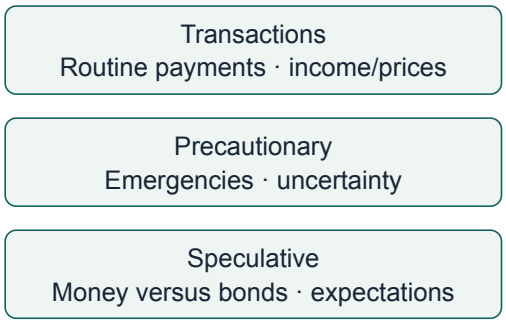
3. Legal tender and currency issuance in India

- **Legal tender:** legally valid means of discharging a monetary debt, subject to applicable limits. **Unlimited:** no aggregate payment ceiling for valid notes; **limited:** statutory transaction ceiling for coins.
- **RBI issues banknotes; Government of India issues coins and ₹1 notes.** RBI distributes coins. RBI notes are Central-Government-guaranteed; ₹1 notes/coins are government liabilities. Banknotes carry the RBI Governor's signature; ₹1 notes carry the Finance Secretary's.
- **Coin limits per transaction:** denominations **₹1 and above: ₹1,000**; **50 paise: ₹10**. Voluntary acceptance above these limits is possible; coin deposits into bank accounts are a different matter.
- **₹2,000 notes:** withdrawal from circulation announced in **2023**, but they **continue as legal tender**. Withdrawal from circulation and demonetisation are different. RBI currency FAQ
- **2016 demonetisation:** old-series ₹500/₹1,000 notes lost legal-tender status from midnight **8 November 2016**. New-series ₹500 notes are valid.
- **RBI Act, 1934:** Section **22**—banknote issuance; **26**—legal tender/guarantee; **33**—Issue Department assets. The printed promise is a currency obligation, not gold convertibility.
- **Seigniorage:** economic benefit from issuing money. Face value minus production cost is a simplified illustration; RBI does not book every newly printed note's face value as profit. Currency is a liability; earnings on backing assets, costs and provisioning affect surplus transferred to government.

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4. Money demand: Keynes's liquidity preference

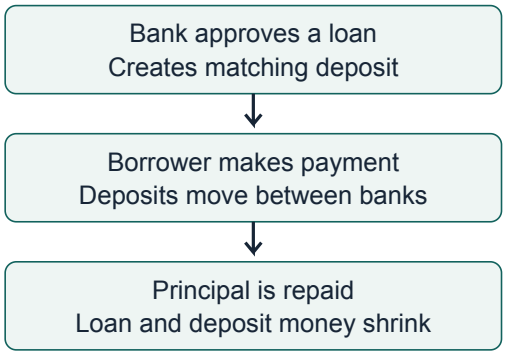
- **Demand for money:** desired holdings of liquid purchasing power; distinct from demand for income or loans. Influenced by income, prices, interest/opportunity cost and expectations.
- **Transactions motive:** routine household/business payments. Higher real activity/income or prices generally increases nominal cash requirements; payment frequency and digital arrangements also matter.
- **Precautionary motive:** emergencies and unforeseen opportunities; normally rises with income and uncertainty. Transactions + precautionary holdings are **active cash balances**.
- **Speculative motive:** holding money rather than bonds because of expected returns/capital losses; linked to the store-of-value function. Generally **interest rate** ↑ → **money demand** ↓.
- **Bond price and yield move inversely:** low current rates may lead people to expect future rate increases and bond-price falls, encouraging cash holdings.
- **Liquidity trap:** at very low rates, additional liquidity may be willingly held rather than used for spending; conventional rate cuts become less effective. It has no universal “3%” threshold. Expectations, weak demand and balance-sheet problems matter.



T–P–S: transactions, precautionary and speculative motives.

5. Money supply: stock, sources and determinants

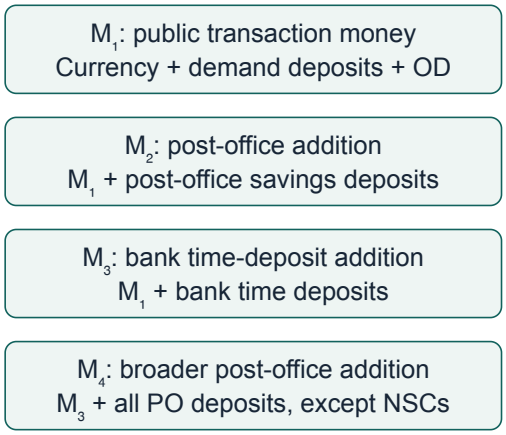
- **Money supply:** stock of monetary assets held by the public at a point in time. It is a **stock**, unlike annual income/GDP, which is a **flow**.
- "Public" excludes the money-producing banking system and relevant government holdings. **Deposits owed by banks to the public count; banks' own cash/interbank balances are not public money.** Reserve money separately includes bank reserves.
- **RBI:** supplies currency/reserves and influences liquidity through policy rates, reserve requirements, securities and foreign-exchange operations. **Banks:** create deposit money when lending or buying assets from non-banks.
- **Loan → deposit creation; repayment of loan principal → deposit destruction.** Lending is constrained by capital, liquidity, regulation, borrower demand and credit risk—not an unlimited mechanical process.
- **Determinants:** reserve requirements, central-bank operations, banks' lending decisions, public currency preference, business cycle, financial inclusion/payment innovation, government financing and external flows.
- Booms often support credit/deposit growth; recessions can weaken it, but this is not an unavoidable rule. Financial innovation may change how aggregates are measured.
- **Velocity changes spending per unit of money; it does not itself mechanically create additional money stock.** Government borrowing/spending does not automatically increase broad money: financing source and subsequent transactions matter.



Loan creation expands deposit money; principal repayment reverses it.

6. Conventional monetary aggregates

- **C = currency with the public; DD = demand deposits with banks; OD = other deposits with RBI; TD = time deposits with banks.** Currency with the public = currency in circulation minus banks' cash holdings.
- **M_0 (reserve/base/high-powered money) = currency in circulation + bankers' deposits with RBI + other deposits with RBI.** Bank reserves make M_0 different from public money.
- **M_1 (narrow money) = C + DD + OD.** The chapter's table omits OD; include it.
- **M_2 = M_1 + savings deposits with post-office savings banks.**
- **M_3 (broad money) = M_1 + TD.** Main broad-money measure used in India.
- **M_4 = M_3 + all post-office savings-bank deposits, excluding National Savings Certificates.**
- **M_2 and M_3 are different additions to M_1:** they are not simply successive nested steps. Moving to broader aggregates generally adds less-liquid assets; do not treat **$M_0 > M_1 > M_2 > M_3 > M_4$** as a universal size or liquidity ranking. RBI definitions



M_2 and M_3 add different deposit categories to M_1.

7. New monetary and liquidity aggregates

- **1998 Working Group:** added aggregates using residency and maturity distinctions. Conventional M_1–M_4 did not simply disappear; distinguish new **NM** definitions from conventional measures.
- **NM_0 = M_0; NM_1 = C + DD + OD.** Demand/current deposits should not be double-counted.
- **NM_2 = NM_1 + residents' short-term time deposits**, contractual maturity **up to and including 1 year**.
- **NM_3 = NM_2 + residents' long-term time deposits + banks' call/term funding from financial institutions.** Residency treatment excludes specified non-resident foreign-currency repatriable deposits from NM_2/NM_3; do not equate every non-resident deposit category. RBI guide
- **L_1 = NM_3 + all post-office savings-bank deposits**, excluding NSCs.
- **L_2 = L_1 + term deposits with term-lending/refinancing institutions + term borrowings by financial institutions + CDs issued by financial institutions.**
- **L_3 = L_2 + public deposits of NBFCs.** These extend measurement beyond banks; post-office deposits are included in L_1, contrary to the chapter's introductory exclusion claim. RBI liquidity definitions
- **Publication rhythm described in the chapter:** M_0 weekly; M_1/M_3 fortnightly; L_1/L_2 monthly; L_3 quarterly. These are series conventions, not a promise that every release arrives at that interval.

8. Money multiplier and velocity

- **Observed money multiplier = M_3 / M_0.** If M_3 = ₹600 and M_0 = ₹100, multiplier = **6**. A rise in M_3 raises the ratio only if M_0 does not rise proportionately or faster.
- **Simple textbook deposit multiplier = 1/r**, where r is a reserve ratio; assumes full lending/redepositing, no currency leakage and no excess reserves. It is not identical to the observed M_3/M_0 ratio.
- With public currency preference **c = C/D** and bank reserve ratio **r = R/D**, a simplified multiplier is **(1+c)/(r+c)**. Higher currency leakage/excess reserves generally lowers it; stronger banking habits generally raise it.
- Higher CRR reduces lendable resources; SLR can constrain lending but cannot simply be added into every multiplier formula. Financial inclusion encourages deposit use. Loan demand, capital constraints and risk affect realised credit expansion.
- **Historical chapter claim:** multiplier rose broadly from the mid-1990s to 2016–17 and weakened thereafter, including 2019–20 to 2022–23. Treat this as period-specific, not a perpetual trend; neither every RBI deposit nor reverse-repo placement is mechanically identical to required reserves.
- **Velocity V = nominal GDP / chosen money stock M; MV = PY**, where PY is nominal output. If GDP = ₹1,000 and M = ₹200, **V = 5 per year**. Use consistent period/stock convention and state the chosen aggregate.
- Velocity reflects payment frequency, income/spending patterns, confidence, interest rates, credit/EMIs, financial inclusion, innovation and uncertainty. Development or EMI use does not guarantee a rise. Low-income households may spend receipts quickly, but economy-wide velocity is not inferred from that alone.
- **Multiplier:** broad-money stock per unit of monetary base. **Velocity:** nominal spending/output per unit of money over time. GDP cannot be controlled through money supply alone when velocity/real output change.

9. How monetary expansion works

- **RBI buys government securities → bank reserves/liquidity rise.** Sale normally absorbs liquidity. Broad-money effects depend partly on whether the counterparty is a bank or non-bank.
- **RBI buys foreign exchange → injects rupee liquidity**; sale normally absorbs it. **Sterilisation** through offsetting operations can neutralise the liquidity effect.
- Lower reserve requirements can support lending; actual credit expansion depends on demand and bank constraints. Government financing through bank/central-bank transactions can affect deposits/reserves; borrowing from existing private savings is not automatically money creation.
- **PYQ trap:** with money supply fixed, greater money demand tends to **raise interest rates** in the standard liquidity-preference model.

10. Indian currency: history and banknote facts

- **INR; ₹; ₹1 = 100 paise.** Symbol combines Devanagari "र" and Roman "R", with two horizontal strokes.
- **1861 Paper Currency Act:** government monopoly of note issue replaced private/presidency-bank issuance; James Wilson was associated with early paper-currency reform. **RBI began operations 1 April 1935.** ₹1 notes were reintroduced in **1940**; the chapter says August, while RBI records issuance since **July 1940**. RBI currency history

- **₹10,000:** highest denomination historically printed; introduced **1938**, demonetised **1946**, reintroduced **1954**, demonetised again **1978**.
- **1949 ₹1 note:** first note of independent India; Lion Capital at Sarnath replaced the British monarch's portrait. **1970:** “Satyameva Jayate” introduced. **October 1987:** ₹500 with Gandhi portrait and Ashoka Pillar watermark.
- **Languages:** 15 in the language panel plus Hindi and English = **17**. Paper is cotton-based. Equal serial numbers can occur with differing inset letter, printing year or Governor's signature; some notes have no inset letter.
- **2011:** non-sequential numbering introduced for efficiency. **Star series:** an asterisk identifies replacement notes in packets; it does not invalidate a note.
- Currency backing includes eligible assets under Section 33, such as gold, government securities and foreign securities; **asset backing ≠ commodity convertibility**.
- **MANI (Mobile Aided Note Identifier):** launched **1 January 2020** for visually impaired users; identifies denominations through audio. Hindi/English plus 11 additional languages are described in the chapter: Assamese, Bengali, Gujarati, Kannada, Malayalam, Marathi, Odia, Punjabi, Tamil, Telugu and Urdu. Denomination recognition does not establish authenticity.

11. Banknote series and motifs

- **Ashoka Pillar series:** Lion Capital imagery. **Mahatma Gandhi series, 1996:** Gandhi portrait on front; Lion Capital retained elsewhere, with Gandhi watermark.
- **MG 2005 security upgrade:** ₹50/₹100—August 2005; ₹500/₹1,000—October 2005; ₹10—April 2006; ₹20—August 2006. Old ₹500/₹1,000 subsequently demonetised in 2016.
- **MG New Series, 2016 onward:** smaller, distinctive colours; motifs reflect India's heritage/scientific achievements. ₹2,000 was announced in November 2016 with **Mangalyaan**; withdrawal from circulation began in 2023.
- **Reverse motifs:** ₹10—Konark Sun Temple; ₹20—Ellora Caves; ₹50—Hampi with chariot; ₹100—Rani ki Vav; ₹200—Sanchi Stupa; ₹500—Red Fort; ₹2,000—Mangalyaan.

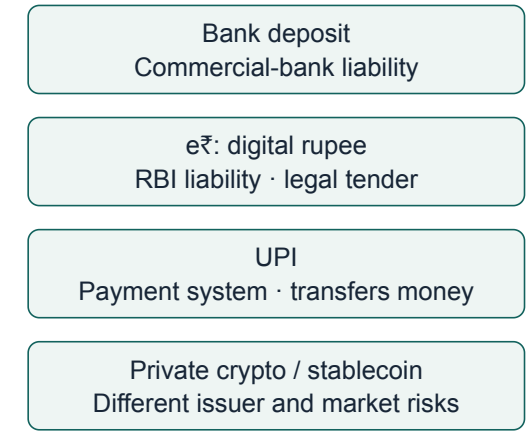
12. Cryptocurrency: opportunities and risks

- **Cryptoassets:** cryptographically secured digital assets, often transferred on distributed ledgers. Examples: Bitcoin, Ether (Ethereum network), Litecoin and XRP (associated with Ripple). Decentralisation varies; not all digital money is cryptocurrency.
- **Potential uses:** programmable transfers, some cross-border payments, tokenisation, technology/startup opportunities and financial access. Low cost, inclusion and greater safety are **possible benefits, not guarantees**; internet access, fees, skills and safeguards matter.
- **Risks:** volatility/speculation, exchange/wallet hacks, fraud, consumer losses, illicit finance and monetary/financial-stability challenges. Public chains are often **pseudonymous, not fully anonymous**; transaction tracing is possible.
- Most unbacked crypto has no issuer-guaranteed redemption; lack of gold backing alone is not the decisive difference from fiat money. Stablecoins may have reserves but involve reserve/issuer risk.
- **Environmental cost:** proof-of-work mining can be energy-intensive; not all networks use mining or the same energy model. Crypto does not inherently improve monetary/fiscal-policy control; currency substitution may weaken sovereignty.

- **Indian society:** youth participation and innovation coexist with scams, speculative losses, unequal digital access and regulatory/compliance challenges. Assess financial inclusion against actual usability and consumer protection, rather than assuming universal access.

13. India: correct the regulatory timeline

- **April 2018:** RBI restricted regulated entities from providing services connected with virtual currencies; this was not a parliamentary blanket criminal ban on owning/trading crypto.
- **4 March 2020:** Supreme Court set aside that RBI circular in *Internet and Mobile Association of India v. RBI*. The chapter's “May 2020” date is incorrect. In **May 2021**, RBI clarified banks could not rely on the quashed circular; due diligence obligations continued. RBI clarification
- **2021 proposed bill:** historical proposal, not an enacted law merely because it was announced. Avoid memorising a proposed blanket ban as existing law.
- **March 2023 onward:** specified VDA service activities fall under **PMLA**; service providers must meet **FIU-IND registration, reporting and AML/CFT obligations**. Thus “crypto has no regulation” is inaccurate. Regulation does not confer legal-tender status. FIU-IND framework
- **Digital rupee (e₹):** RBI-issued CBDC, legal tender and RBI liability. A bank deposit is the bank's liability; **UPI is a payment mechanism**, not a separate currency. Private crypto is distinct from e₹. RBI digital-rupee FAQ
- **International examples are historical:** El Salvador adopted Bitcoin in **2021**; its **2025 reforms made private acceptance voluntary**. CAR adopted crypto legal-tender provisions in **2022** and revised them in **2023**. Do not use the chapter's two-country list as a current rule. IMF: El Salvador, IMF: CAR



Identify the issuer, liability and payment mechanism separately.

14. Blockchain, NFTs and stablecoins

- **Blockchain:** ledger whose records are grouped into cryptographically linked blocks; participants use consensus to agree on updates. It can be public/permissionless or private/permissioned. Blockchain and cryptocurrency are not synonyms.
- **Tamper resistance:** changing old records is difficult under the system's assumptions, not impossible under every attack/governance arrangement. Security does not automatically protect wallets, exchanges or erroneous inputs.

- **Uses beyond crypto:** supply-chain records, provenance, identity/credential verification and shared registries. Permissionless applications can be built without a central gatekeeper; this does not mean every blockchain has unrestricted access.
- **NFT:** non-fungible token—unique identifier/record; not mutually interchangeable like equal-denomination rupees or units of the same fungible token. Used with artwork, music, collectibles and other assets; can be bought/sold.
- **NFT ownership ≠ automatic copyright or ownership of the underlying work.** Rights depend on the contract/law; links/files can remain off-chain. Fractional arrangements exist, so “never divisible in any form” is too absolute.
- **Stablecoin:** token designed to track a reference value, often a fiat currency. It may use reserves or other mechanisms; **a peg can fail**. It is not automatically government-guaranteed money or a CBDC.

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15. PYQ recall and quick revision

- **2021 money multiplier:** banking habit increases → currency leakage tends to fall → multiplier rises. **Answer (c).**
- **2020 blockchain:** public-ledger/permissionless descriptions fit the question; crypto-only claim is false. **Statements 1 and 3; answer (d).** Real-world permissioned chains also exist.
- **2013 money demand:** supply unchanged + demand rises → interest rate rises. **Answer (b).**
- **Four functions:** exchange, account, store, deferred payment. **Three motives:** transactions, precautionary, speculative.
- **M_0 uses currency in circulation; M_1 uses currency with public. M_1 includes OD; M_3 adds time deposits.**
- **Multiplier = M_3/M_0; velocity = nominal GDP/M.** Higher banking habit generally raises the former; faster spending raises the latter.
- **Fiat ≠ gold-redeemable; cheque ≠ legal tender; e₹ ≠ UPI; NFT ≠ copyright; stablecoin ≠ guaranteed stability.**
- **Mains answer structure:** define money/technology → explain mechanism → benefits → risks/distributional effects → regulation, literacy, cybersecurity and consumer safeguards. No mains PYQs appear in the supplied chapter; these are answer cues, not PYQs.